

complaint

Mr A complains about UK Insurance Limited's ("UKI") handling of his subsidence claims.

background

I issued a provisional decision in this case in March 2015 a copy of which is attached and forms part of this final decision.

UKI replied to my provisional decision and stated the following:-

- That it was wrong that it was being asked to provide a report tailored to the requirements of another insurer's underwriter;
- It undertook proportionate and sufficient investigations to diagnose and remedy the 2009 subsidence;
- Any failure was confined to its inability to properly communicate to Mr A the reasons for its actions and conclusions;
- It/its suppliers have failed to provide Mr A with a certificate that adequately explains the circumstances of the 2009 claim;
- It can now provide its own 'certificate of structural adequacy' based on its suppliers' findings and determinations. Such a certificate should satisfy a prospective purchaser. It couldn't say if it would satisfy another insurer;
- The stabilisation works undertaken have satisfied its own underwriting criteria in respect of providing cover to prospective purchasers;
- It agreed to my proposal to pay Mr A £500 compensation.

I told Mr A about UKI's offer to give him a certificate of structural adequacy. I explained that now UKI had said it would issue the certificate, there was no need for a structural engineer's report. Issuing Mr A with a certificate of structural adequacy was, in my opinion, the right outcome to his complaint. Mr A disagreed.

Much of what Mr A said in response to my provisional decision repeated prior comments. These had been addressed by me in that decision. His new comments included the following:-

- The willow tree is still in the garden, meaning UKI hadn't carried out any remedial work;
- That it was frustrating and unfair that I wouldn't speak with him directly, visit the property or commission my own report.
- That he didn't accept UKI's offer to remove the 'subsidence note' because there had never been any subsidence at the property; he couldn't accept an offer connected to something that had never existed;
- That he had received appalling treatment from UKI;
- UKI's own engineers stated there had never been any subsidence;
- That UKI could either pay him £5,000 to draw a line under the whole matter or he would pursue the matter via his MP and MEP. If UKI was willing to pay this sum then he would withdraw any claims against it.

my findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

I welcome UKI's decision to issue a certificate of structural adequacy and to pay Mr A £500. The certificate was originally what Mr A wanted so that he could insure his property elsewhere if he wished or, sell it. The certificate means a structural engineer's report isn't needed. It will put Mr A in the position he should have been in in 2009.

I acknowledge that Mr A believes that the property has never suffered from subsidence. However, for the reasons set out in my provisional decision, I disagree. I can't recommend that UKI remove a valid claim from Mr A's claims record. UKI hasn't offered to remove the 'subsidence note', it has offered to issue a certificate of structural adequacy.

In my provisional decision I refer to the willow tree being chemically treated rather than removed. All the evidence I reviewed indicated the willow tree hadn't been removed. Chemically treating and pruning trees does, in my view, amount to remedial work.

This service is an informal dispute resolution service. Whilst I understand that on occasions consumers would prefer to speak to the ombudsman handling their case, we don't typically do so. Similarly, we aren't set up to do site visits or commission our own reports. We look at the evidence that the parties are able to send to us and reach our conclusions based on that.

In my provisional decision, I explained this service's approach to awards for distress and inconvenience caused by a business. I have considered what Mr A has said since my provisional decision, however, I still think that an award of £500 is a fair one and in line with what this service would award in similar circumstances. I don't think requiring UKI to pay to Mr A £5,000 would be a fair resolution of this complaint.

my final decision

My final decision is that I uphold this complaint. I require UK Insurance Limited to do the following:-

1. Provide Mr A with a certificate of structural adequacy in respect of the 2009 claim.
2. Pay Mr A the sum of £500 in respect of the distress and inconvenience caused to him as a result of its poor handling of his claims for subsidence.

Under the rules of the Financial Ombudsman Service, I am required to ask Mr A to accept or reject my decision before 15 July 2015.

Claire Woollerson
Ombudsman

PROVISIONAL DECISION

complaint

Mr A has complained about UK Insurance Limited's handling of his claims for subsidence.

background

About fifteen years ago Mr A built a single storey extension to his home. In 2009 he noticed a crack on an external wall where the new extension joined the main house. Mr A reported the cracking to UKI who appointed a loss adjuster to investigate the claim. The loss adjuster concluded that the damage was subsidence caused by clay shrinkage and vegetation. UKI arranged for a willow tree to be pruned and chemically treated. As the cost of repairs fell below the £1,000 policy excess, UKI left Mr A to complete the cosmetic repair. At the time, Mr A disagreed with UKI that the cracking was subsidence but due to some difficult personal circumstances, and UKI's insistence that it would not continue to insure the property if the willow tree was not removed, he agreed that it should be.

Following the claim Mr A said that he was unable to sell his home or arrange home insurance with another insurer. Mr A was unhappy that UKI had recorded his claim as subsidence. He wanted to challenge UKI about it but was too busy to do so for a number of years. Some years later Mr A reported that his house was suffering from other cracks. He thought that doing so may lead UKI to removing the 2009 claim from his records.

Mr A reported that his entire house and garage were suffering from subsidence and that UKI needed to repair everything. UKI sent an engineer to look at Mr A's property in July 2013. The engineer reported that there was no recent or progressive subsidence to Mr A's property. Mr A believed that this engineer's report was clear confirmation that the earlier cracks (from the 2009 claim) could not have been subsidence related either. As a result he wanted UKI to remove the 2009 subsidence claim from his records. UKI wouldn't do so.

Mr A complained to UKI. He wanted UKI either to confirm his house had never had subsidence or, alternatively, make sure every crack on the house and garage was repaired. It is Mr A's view that either all the cracks are subsidence, or none of them ever have been. Mr A accepted that it was unnecessary for UKI to repair every crack currently visible but he said that the two cracks which were the subject of the 2009 claim were still there and were the same size and shape they had always been. In his opinion, the fact the two cracks were unchanged clearly showed that they can't have been caused by subsidence and so the 2009 claim should never have been recorded as subsidence.

UKI investigated Mr A's complaint. It said that there was subsidence at his property in 2009 which had been remedied by treating the tree. UKI was sorry that the existence of the claim on his records meant that Mr A had not been able to sell his house or secure a more competitive insurance quote - it paid him £100 compensation.

Mr A complained to this service. He explained that he wanted the following:-

- UKI to accept that the house had never suffered from subsidence.
- UKI to accept that it was wrong to constantly refer to the original, flawed loss adjuster's report.
- The original loss adjuster's report was not based on a full assessment of the property – no inspection trench was dug or monitoring undertaken.
- Compensation for being unable to sell the property at the top of the housing market.
- Compensation for being unable to obtain competitive insurance quotes.
- Compensation for the emotional loss of having trees cut down which also caused the loss of childhood memories

- UKI to acknowledge its bad treatment of him and the stress it has caused him.

Our adjudicator investigated Mr A's complaint. She noted that UKI's engineer believed the loss adjuster's 2009 assessment of the damage had been correct. This meant she didn't think that UKI had unreasonably recorded the 2009 claim as subsidence. She did think that the willow tree could have been completely removed and said that she would write to UKI asking that it do just that. She thought that Mr A's complaint shouldn't be upheld.

Mr A was unhappy with our adjudicator's view. He asked whether she would consider a third, independent, report if he got one. Our adjudicator advised that UKI would need an opportunity to look at any new report. Mr A also asked our adjudicator to contact UKI and ask it to provide a certificate of structural adequacy which would show the property was now stable. Mr A also said that the engineer's report had said that there had never been subsidence at the property yet he still had a subsidence claim on his record. He felt that our adjudicator had accepted what the loss adjuster had said. He also said that UKI said that the damage had been repaired yet no repairs were carried out.

Our adjudicator contacted UKI to ask it for a certificate of structural adequacy but it declined to provide one because it had not undertaken any repairs at the property. She also informed UKI that it was her opinion that its loss adjuster should have carried out a more detailed investigation when diagnosing the 2009 subsidence.

She said that because of the time that had passed since then it would be very difficult to establish now what had caused the subsidence but, taking into account that the loss adjuster was familiar with the area, that there was slight tapering to the crack, that the claim was reported ten years after the extension was built (making settlement a less likely cause) and that there was a willow tree nearby, then it was reasonable to conclude that the subsidence claim had been correctly recorded.

Our adjudicator said that it would have been better if there had been more definitive tests carried out in 2009 but understood the mitigation work carried out by UKI was the pruning and treatment of the willow tree and that this is what is believed to have stopped the movement. Consequently, she felt it would be reasonable if UKI issued a certificate of structural adequacy. Alternatively, she acknowledged that UKI may want to monitor the property further before doing so. She also thought UKI should pay Mr A £150 compensation for inconvenience caused.

UKI admitted that its loss adjuster had not undertaken site investigations in 2009 but the willow tree (a high water demand tree) was most likely to be the cause of the slight subsidence. It said the fact the damage recovered and that there had been no further movement since then, proves that the cause of damage had been correctly identified. It felt there was no need to monitor the property five years later because its engineer had recently confirmed there was no current evidence of subsidence. Because no repairs had been carried out by UKI, it had not issued a certificate. It explained that these were only issued after its agents instructed contractors to carry out repairs. It offered to issue a document which said that the mitigation works undertaken in 2009 had been successful in ending a minor incident of subsidence and to confirm that any new owner of the property would continue to be insured.

Mr A asked for his complaint to be referred for an ombudsman's final decision. In the meanwhile, UKI agreed to provide a structural engineer's report of the type an insurer would want to see if Mr A wished to change his insurance company. Mr A declined UKI's offer.

Mr A recently sent in part of a further report. The report was dated January 2015 and was written by the same engineer who provided the 2013 report. It said on the front page that it was prepared for UKI. Mr A provided a copy of the conclusion which said that there was no evidence of recent, historic or ongoing subsidence at the property when the engineer inspected it (in July 2013). Mr A said this was the fourth report that had been prepared and it contradicted two of the previous ones but agreed with another. He said that it proved he had been right all along. He also wanted transcripts of phone calls he had had with UKI staff over the years obtained.

Our adjudicator referred the report to UKI. It said it had spoken to the engineer who confirmed that no further inspection had taken place. Instead the report was provided in response to this service's requests that UKI provide Mr A with a structural engineer's report that would satisfy another insurer should Mr A choose to move provider. The engineer said that it had been asked to provide a statement or report to confirm there was no evidence of subsidence which it said was the position when it carried out its inspection in July 2013. UKI said it didn't think this new report changed anything.

The file was passed to me for a final decision.

my provisional findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

I have set out the background to this complaint in some detail above. This is because I hope that Mr A will be reassured that I have noted all the aspects and nuances to his complaint. I can see that he has been very frustrated by this entire matter.

Having a subsidence claim registered against your claims history is a serious matter. It is, therefore, imperative that insurers are certain that subsidence has happened before recording it as such. Usually there is a period of monitoring which takes place so an insurer can be definite in its assessment. This clearly did not happen with Mr A's claim. I accept that the cracks were not particularly serious, however, the consequences of recording a subsidence claim are.

UKI handled the 2009 claim poorly. It should have monitored the cracking. It should also not have walked away from the repairs, however minor they may have been. In so doing it left Mr A in limbo. He never fully believed his property had suffered from subsidence because UKI had not conducted the claim properly. I have to say that, on balance, I think that there was subsidence at the property in 2009, however, it was minor. I say this because of the loss adjuster's local knowledge, because, based on the evidence I have seen, there was slight tapering to the crack, because it had been ten years since the extension was built (making settlement a less likely cause) and because there was a willow tree nearby.

Just because the subsidence was minor did not mean UKI should not handle the claim properly and make sure Mr A was correctly indemnified. It declined to undertake the repairs because they fell beneath the policy excess for subsidence, however, UKI failed to explain to Mr A the consequences of it not doing so. If he had been told that undertaking the repairs himself and not paying the excess meant no certificate of structural adequacy would be issued to him (and all the follows from that) then he may have insisted UKI complete the repairs.

Mr A wants UKI to remove the subsidence claim from his claims history. As I have already said, I think that the 2009 claim was for subsidence, albeit minor, therefore I can't ask UKI to remove a valid claim from his history. UKI does need to put things right for Mr A though, as far as it can almost six years after this all started.

There is little point in undertaking monitoring now, so many years later. All the evidence suggests that the property has since stabilised following the remedial action taken with the trees. That said, Mr A should not be disadvantaged by UKI's poor claims handling. If he wishes to move insurer or sell his home he should be able to do so. UKI said it would provide Mr A with a structural engineer's report. The report was to be of a type acceptable to other insurers or prospective purchasers should Mr A wish to move insurers or move house.

What UKI has instead done is go back to the engineer who visited and reported on the property in 2013. It appears that he has cut and pasted sections of the 2013 report and added the word 'historic' to the conclusion section. Mr A has, understandably, focussed on the use of the word 'historic' as confirmation that there was never subsidence at his property. This report is inadequate and unhelpful.

As UKI has not done what it said it would, I think it should meet the expense of Mr A instructing a structural engineer of his own choosing to provide a report on his property which would be acceptable to both prospective purchasers and insurers. It should also pay him £500 compensation for the distress and inconvenience it has caused him as a result of its poor handling of the 2009 claim.

I would also like to make the following comments. I can't agree with Mr A that either all the cracks were subsidence or all of them weren't. The evidence suggests to me that it was more likely than not that there was minor subsidence in 2009. The evidence also suggests to me that by the time Mr A made the 2013 claim the property had stabilised, the damage had recovered and there had been no further movement. Any cracking that was visible in 2013 was not due to subsidence.

I understand why the shortcomings of the 2009 loss adjuster's report coupled with his lack of investigations into the cause of the cracking meant Mr A felt that the 2009 claim should be removed from his record, however, I can't agree with him on this point. The problems Mr A has experienced are not due to UKI incorrectly logging a subsidence claim on his claims history but because UKI handled the claim poorly. It failed to undertake a thorough enough investigation so that Mr A could have confidence in its conclusions. Although it is not unusual for a policyholder to arrange their own repair when it falls beneath the value of the policy excess, in this instance UKI's decision not to repair meant Mr A was left without the protection of a certificate of structural adequacy. It then repeatedly referred to the original loss adjuster's report as justification for its actions without considering how it had conducted the claim, or the effect its actions had had on Mr A.

I am afraid that this service is unable to recommend awards for compensation of the type listed by Mr A. He may well have been unable to sell his house at the top of the market but I can't make an award for his perceived loss. This service can make awards for distress and inconvenience caused to consumers, however, such awards are not punitive nor do they mirror what the courts might do. The compensation award is, in my view, fair in all the circumstances. I accept that the felling of some of the trees in his garden must have been distressing for Mr A but given that doing so was part of the remedial works to prevent further movement, it was clearly necessary.

my provisional decision

My provisional decision is that I uphold this complaint. It is my intention to require UK Insurance Limited to do the following:-

3. Meet the cost of Mr A instructing his own structural engineer to provide a report on his property of the type that would be acceptable to future insurers or prospective purchasers.
4. Pay Mr A the sum of £500 in respect of the distress and inconvenience caused to him as a result of its poor handling of his claims for subsidence.

I do not propose to make any further award.